

Multiple Choice (10 marks)

1. An organization can offer standard products at acceptable levels of quality, yet still generate above-average profit margin by adopting _____.
 - (a) Differentiation.
 - (b) Cost leadership.
 - (c) Focus strategy.
 - (d) Branding strategy.
 - (e) Growth strategy.
2. The Weekly Globe has a circulation of 352,579. Its rate is \$1.18 per agate line. What is the millinerate?
 - (a) \$1.18
 - (b) \$352,579
 - (c) \$2.84
 - (d) \$3.35
3. Max Flaum had a note for 2400. *He discounted it 30 days before it was due. The bank paid him 2389,* find the discount rate.
 - (a) 3%
 - (b) 6.5%
 - (c) 7%
 - (d) 4.75%
 - (e) 4.5%
4. What is the difference in annual premiums of a \$10,000 20-payment life policy purchased at age 30, as opposed to the same policy purchased at age 20?
 - (a) \$48.90
 - (b) \$40.05
 - (c) \$35.50
 - (d) \$75.20
 - (e) \$10.00
5. According to Evan and Freeman (1993), the Principle of _____ and the Principle of _____ can be used in a specific situation to determine who constitutes a _____.

- (a) Corporate liability, Corporate effect, Stakeholder
- (b) Corporate rights, Corporate effect, Stakeholder
- (c) Corporate rights, Corporate effect, Shareholder
- (d) Corporate responsibility, Corporate effect, Shareholder
- (e) Corporate rights, Corporate liability, Shareholder

True / False (10 marks)

Answer True or False

- 6. True or False: Display advertising exclusively targets audience demographics without considering the content of the web pages visited.
- 7. True or False: Mass communication primarily targets small, specialized groups rather than large, diverse audiences through traditional media.
- 8. True or False: The Operant Conditioning Theory suggests that behavior is solely determined by external rewards and punishments, ignoring personal values.
- 9. True or False: The difference in insurance premiums for a frame house between Class A and Class B towns is \$7.20.
- 10. True or False: Transactional leaders primarily focus on demonstrating authority, commanding tasks, and motivating their team members.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate Miss Florence Parrish's total earnings for January, considering her semi-monthly salary and commission on sales. Discuss the implications of commission structures on employee motivation.
- 12. Analyze Ms. Edwards' financial situation by calculating her marginal propensity to consume and marginal propensity to save based on her income and expenditure changes. Discuss the implications of these values.

End of Paper